Practice workbook · What shifts the supply curve

The non-price factors (production costs, technology, indirect taxes, subsidies, natural factors) that shift supply left or right.

6 question parts: 1 worked-example retry and 5 further practice parts.
Name: _____ Class: _____ Date: _____

Practise one question type at a time. Attempt the part inside the red boundary; the rest of the question and any figures are kept for context. Write your working in the answer space.

The first question is a retry of the website worked example, without its solution. Check your answers online with 'Check my answer', or ask your teacher for the answer booklet.

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Type ID: ECO-T11-09

1. Question 3 · part d · 6 marks

2025 NOV · Paper 01

Worked-example retry · Attempt part d only.

3 (a) Which **one** of the following may be a reason why a firm stays small?

(1)

- ☒ **A** Ability to take over competitors
- ☒ **B** Access to many sources of finance
- ☒ **C** Ability to spread risk
- ☒ **D** Aims of the entrepreneur

(b) Which **one** of the following describes a price elasticity of supply (PES) of 1.5?

(1)

- ☒ **A** Perfectly price elastic
- ☒ **B** Perfectly price inelastic
- ☒ **C** Price elastic
- ☒ **D** Price inelastic

Figure 5 shows the labour market for a country.

(c) Using the diagram below, draw the effect of a decrease in the school-leaving age on the labour market in this country. Label the new curve, the new equilibrium wage rate and the new quantity of workers.

(3)

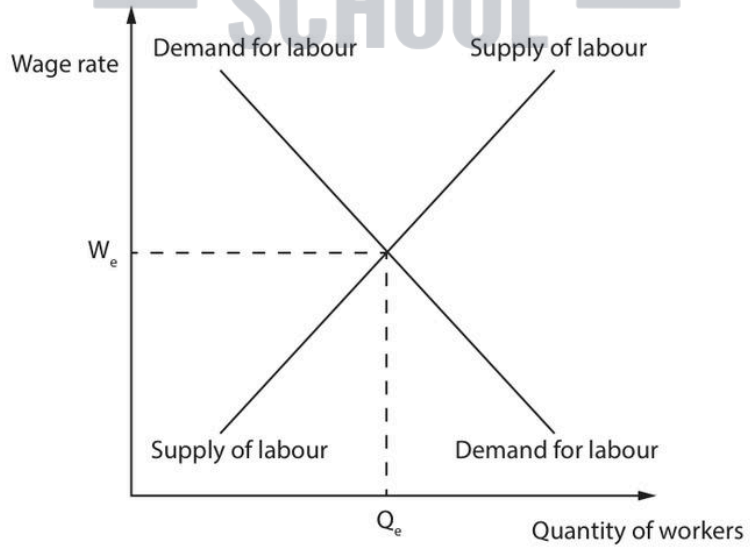


Figure 5

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1. Question 3 · part d · 6 marks

2025 NOV · Paper 01

Worked-example retry · Attempt part d only.

The price of olive oil peaked in the summer of 2024, averaging €10 000 per tonne. It is expected to fall to between €4 000 and €5 000 per tonne in 2025.

Some of the main areas where olive oil is produced are located in Greece, Spain and Tunisia. All are set for improved harvests of olives, after years of heatwaves and droughts causing a fall in the harvest. Better weather means Greece is expected to produce 230,000 tonnes in the 2025 season, up from 130,000 tonnes the previous year. While Spain and Tunisia are also forecasting large increases in production.

(d) With reference to the data above and your knowledge of economics, analyse how natural factors, such as favourable weather conditions, may affect the market for olive oil in 2025.

(6)

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1. Question 3 · part d · 6 marks

2025 NOV · Paper 01

Worked-example retry · Attempt part d only.



1. Question 3 · part d · 6 marks

2025 NOV · Paper 01

Worked-example retry · Attempt part d only.

Fitnation is a fitness centre in Almaty, Kazakhstan. Boxing is one of the many activities provided by the centre. Fitnation aims to complete charitable work by offering city residents access to the boxing facilities and coaching at a discounted price on one day a week. This makes boxing more accessible to many of the population who may otherwise not have been able to afford it.

However, it means the facilities are very busy on this day, reducing the availability for the centre members who have paid the full price of between $25 and $50 for a month of membership.

(e) With reference to the data above and your knowledge of economics, assess the benefits to Fitnation of offering the discounted price.

(9)

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1. Question 3 · part d · 6 marks · Working and answer

Working and answer

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2. Question 2 · part h · 9 marks

2019 JUN · Paper 01

Further practice · Attempt part h only.

2 (a) Which **one** of the following is part of the economic problem of scarcity?

(1)

- ☒ **A** When to produce
- ☒ **B** What to produce
- ☒ **C** Whether to produce
- ☒ **D** Where to produce

A country is able to produce agricultural and non-agricultural goods. Its production possibility curve is shown in Figure 3.

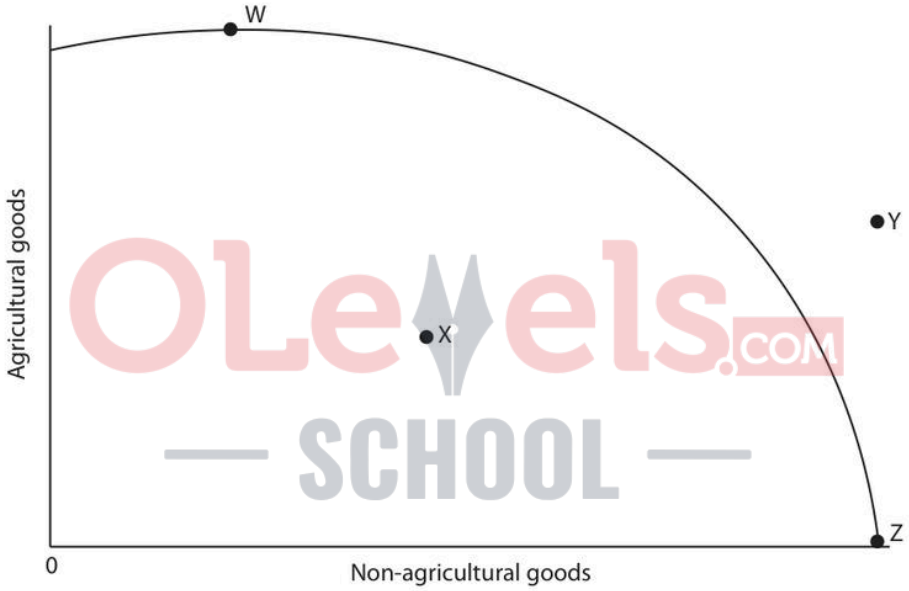


Figure 3

(b) Which **one** of the following points is **not** achievable?

(1)

- ☒ **A** W
- ☒ **B** X
- ☒ **C** Y
- ☒ **D** Z

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2. Question 2 · part h · 9 marks

2019 JUN · Paper 01

Further practice · Attempt part h only.

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(c) Calculate the price elasticity of demand for a product when price increases by 15% and quantity demanded falls by 12%. You are advised to show your working.

(2)

(d) Define the term innovation.

(1)

(e) State **one** factor that will cause a demand curve to shift to the left.

(1)

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2. Question 2 · part h · 9 marks

2019 JUN · Paper 01

Further practice · Attempt part h only.

Beating the congestion in Dhaka

Nearly 17 million people live in Dhaka, the capital of Bangladesh. The majority of people live in the city centre and traffic congestion is a problem. However, there are many auto rickshaws (a small, three-wheeled vehicle, driven by a motorcycle engine) competing in the city centre to take passengers to their destinations. Fares tend to be cheaper in the city centre than they are outside the city centre and are usually agreed between passengers and drivers.

Dhaka has a large number of auto rickshaws competing for fares.

(f) Apart from price, describe **one** advantage for passengers of this competition.

(2)

(g) With reference to the information given in **'Beating the congestion in Dhaka'**, explain **one** reason why prices for journeys using an auto rickshaw might be higher outside the city centre.

(3)

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2. Question 2 · part h · 9 marks

2019 JUN · Paper 01

Further practice · Attempt part h only.

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A lack of space in many busy cities means parking is an increasing problem. Japan has developed the first Automated Parking Systems (APS). These are car parks where the cars are automatically stacked. The driver takes the car to the entrance, then technology takes over, placing each car on racks, one above the other. This allows many cars to be parked in a very small area. Not only do they offer a more practical use of space than traditional multi-storey car parks, but they cost less to build. The drivers benefit from cheaper parking fees and they save time.

(Source: adapted from http://japantravelmate.com/cool-japan/things-see-japans-automated-rotary-parking-systems)



Figure 4

(Source: © pio3/Shutterstock)

(h) With reference to the data above and your knowledge of economics, assess the extent to which changes in technology may reduce the shortage of car parking spaces in city centres.

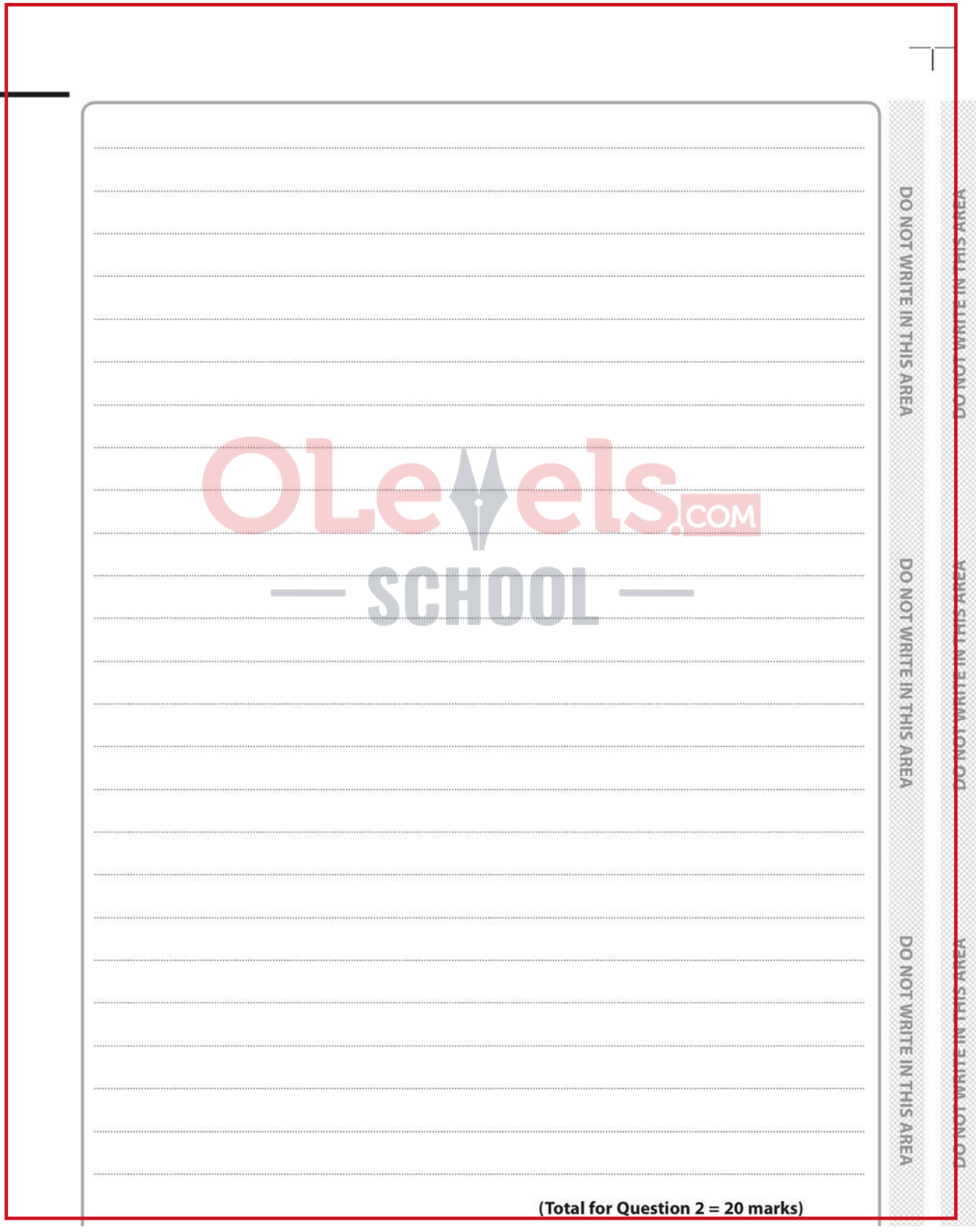
(9)

P 6 0 7 4 9 A 0 9 2 0

2. Question 2 · part h · 9 marks

2019 JUN · Paper 01

Further practice · Attempt part h only.



2. Question 2 · part h · 9 marks · Working and answer

Working and answer

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3. Question 1 · part i · 6 marks

2020 NOV · Paper 01 (regional R)

Further practice · Attempt part i only.

1 (a) Car production is most likely to take place in which sector of the economy?

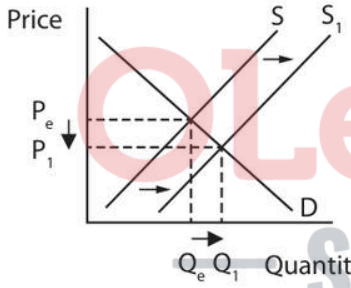
(1)

- ☒ **A** Primary
- ☒ **B** Secondary
- ☒ **C** Tertiary
- ☒ **D** Mixed

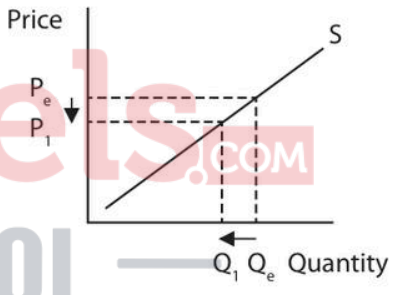
(b) Which **one** of the following diagrams shows the new equilibrium price and quantity for lemon ice cream in Thailand following a price reduction in chocolate ice cream?

(1)

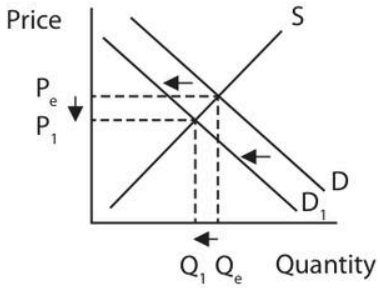
☒ **A**



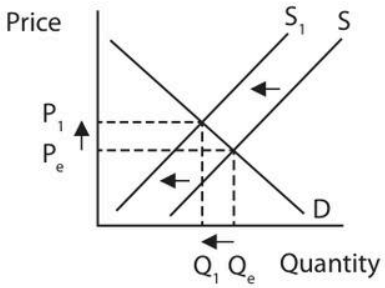
☒ **B**



☒ **C**



☒ **D**



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3. Question 1 · part i · 6 marks

2020 NOV · Paper 01 (regional R)

Further practice · Attempt part i only.

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(c) What is meant by the term total revenue?

(2)

(d) State **one** possible cause of positive economic growth.

(1)

(e) Define the term external benefit.

(1)

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3. Question 1 · part i · 6 marks

2020 NOV · Paper 01 (regional R)

Further practice · Attempt part i only.

Tour guides are available to accompany tourists who visit the Terracotta Army collection of sculptures in Xi'An, China. The quantity of tour guides demanded for the first three months of 2019 is shown below.

Month	Quantity of tour guides demanded
January	1,200
February	1,450
March	1,625

Figure 1

(f) Calculate the **excess supply** of tour guides if the quantity supplied during this three-month period was 6,000 (2,000 per month). You are advised to show your working.

(2)

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3. Question 1 · part i · 6 marks

2020 NOV · Paper 01 (regional R)

Further practice · Attempt part i only.

(g) Using the diagram below, draw the likely effects of an increase in the birth rate on the market for toys. Label the new curve, the new equilibrium price and the new equilibrium quantity.

(3)

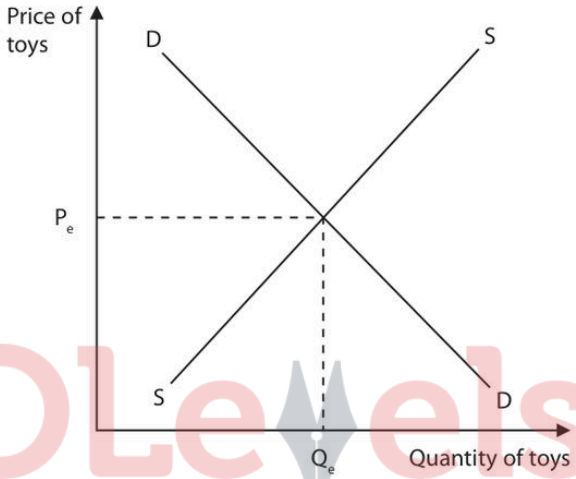


Figure 2

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3. Question 1 · part i · 6 marks

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Further practice · Attempt part i only.

Virgin Atlantic took over a part of budget airline Flybe in the spring of 2019 to form Connect Airways.

(h) Explain **one** possible advantage for customers of Connect Airways from the takeover.

(3)

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3. Question 1 · part i · 6 marks

2020 NOV · Paper 01 (regional R)

Further practice · Attempt part i only.

A powerful typhoon destroyed property on the island of Lamma in Hong Kong. Owners of restaurants that were damaged think it may take two or three months for them to fully reopen. This was due to flood damage and replacing equipment that was washed away. The repair costs for one restaurant owner was an estimated HK$300 000 to HK$400 000.

(Source adapted from: https://www.scmp.com/news/hong-kong/society/article/2164928/long-road-recovery-hong-kongs-outlying-islands-after-typhoon)

(i) With reference to the data above and your knowledge of economics, analyse how natural factors such as adverse weather may cause a shift in the supply curve.

(6)

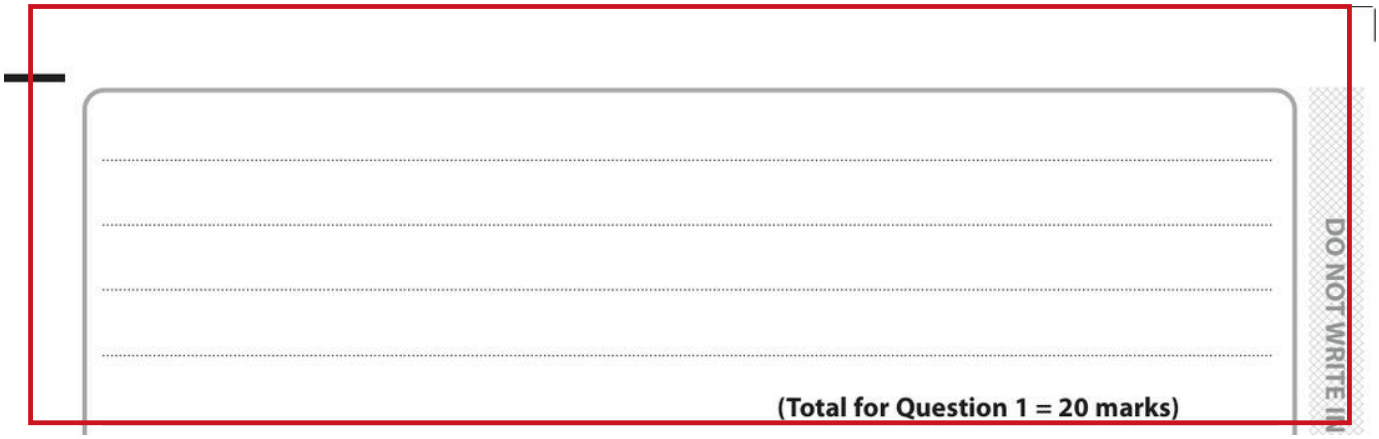
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3. Question 1 · part i · 6 marks

2020 NOV · Paper 01 (regional R)

Further practice · Attempt part i only.



Working and answer

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4. Question 3 · part a · 1 mark

2020 NOV · Paper 01

Further practice · Attempt part a only.

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3 (a) Which **one** of the following is most likely to cause a shift to the left in the supply curve?

(1)

- ☒ **A** Increased indirect taxes
- ☒ **B** Cost reductions
- ☒ **C** Increased subsidies
- ☒ **D** Decreased advertising

(b) Which **one** of the following best describes an income elasticity of demand (YED) of 2.6?

(1)

- ☒ **A** Inferior
- ☒ **B** Unitary
- ☒ **C** Luxury
- ☒ **D** Inelastic

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4. Question 3 · part a · 1 mark · Working and answer

Working and answer

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5. Question 1 · part d · 1 mark

2023 JUN · Paper 01 (regional R)

Further practice · Attempt part d only.

1 (a) For which **one** of the following will demand increase when incomes decrease?

(1)

- ☒ **A** Capital good
- ☒ **B** Inferior good
- ☒ **C** Luxury good
- ☒ **D** Normal good

A firm's monthly total costs are $2 640 and monthly fixed costs are $900.

(b) Which **one** of the following equals $1 740?

(1)

- ☒ **A** Price
- ☒ **B** Profit
- ☒ **C** Average total costs
- ☒ **D** Total variable costs

(c) What is meant by the term division of labour?

(2)

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5. Question 1 · part d · 1 mark

2023 JUN · Paper 01 (regional R)

Further practice · Attempt part d only.

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(d) State **one** reason why a supply curve will shift to the left.

(1)

(e) Define the term competition.

(1)

A firm sells its products at a price of € 75 per unit and has a cost per unit of € 35.

(f) Calculate the **total revenue** for the firm when its monthly sales are 250 units.
You are advised to show your working.

(2)

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5. Question 1 · part d · 1 mark · Working and answer

Working and answer

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6. Question 1 · part b · 1 mark

2024 NOV · Paper 01

Further practice · Attempt part b only.

1 (a) Which **one** of the following is a definition of opportunity cost?

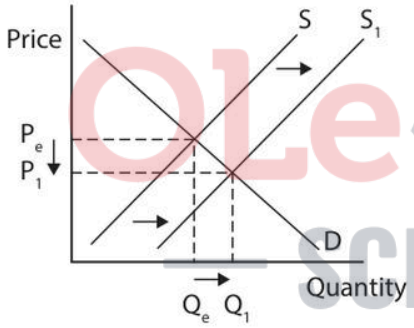
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- ☒ **A** Rivalry that exists between firms
- ☒ **B** Investment in capital goods
- ☒ **C** The next best alternative given up
- ☒ **D** Unused resources

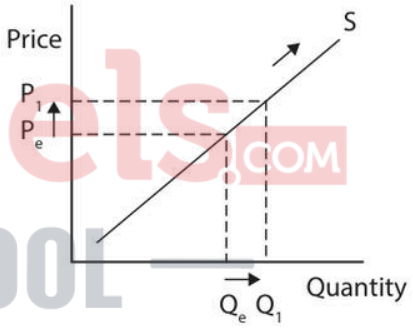
(b) Which **one** of the following diagrams shows the likely effect on the market for cars after an increase in subsidies to car manufacturers?

(1)

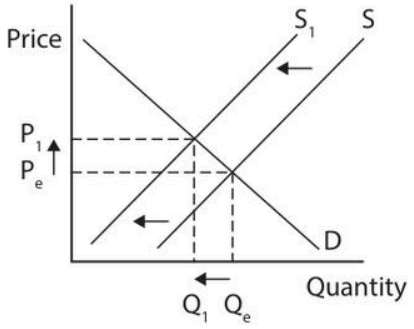
☒ **A**



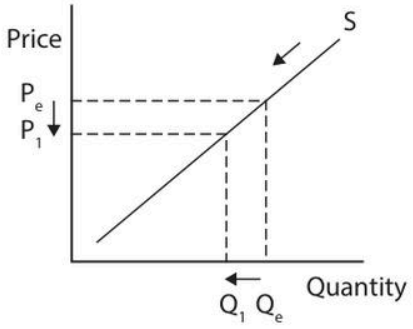
☒ **B**



☒ **C**



☒ **D**



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6. Question 1 · part b · 1 mark

2024 NOV · Paper 01

Further practice · Attempt part b only.

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(c) What is meant by the term external benefit?

(2)

(d) State **one** example of an external cost.

(1)

(e) Define the term takeover.

(1)

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6. Question 1 · part b · 1 mark · Working and answer

Working and answer

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